wapic

Wapic Insurance Plc.

Q3 2016 Financial Results Presentation to Investors & Analysts

November 1, 2016

Presenters

Yinka Adekoya
Managing Director, Wapic Insurance Plc.

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Managing Director, Wapic Ghana Ltd.

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Executive Director, Sales & Distribution

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Chief Financial Officer

Zina Y. Giwa-Amu
Strategy & Investor Relations

MOOV

Protect your vehicle
the smart way.

Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

152 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

6 Regional offices in Nigeria
(Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

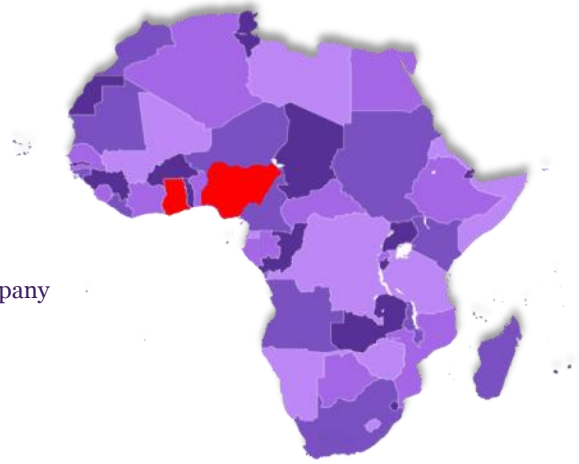
N27billion
Portfolio

17.55 Billion
Assets Under Management

850,000+
Shareholders

WAPIC Insurance Plc.
(Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **B- (Financial Strength Rating/Stable Outlook)** • **bb- (Issuer Credit Rating/Stable Outlook)**
Actuaries	H R Nigeria Limited; ALEXANDERFORBES
Re-insurers	Munich RE; AFRICA RE; CONTINENTAL REINSURANCE; WAICA RE; Ghana Re; Nigeria Reinsurance Corporation
Auditors	• PwC

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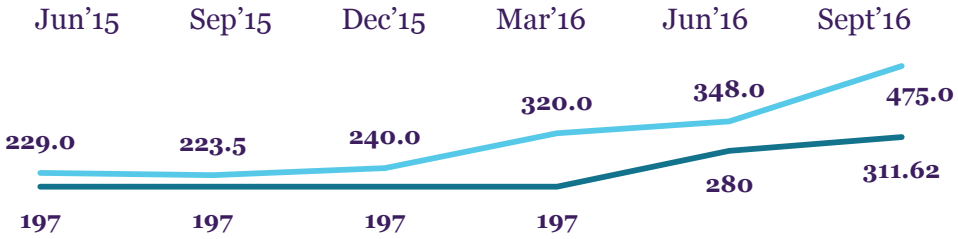
Operating environment

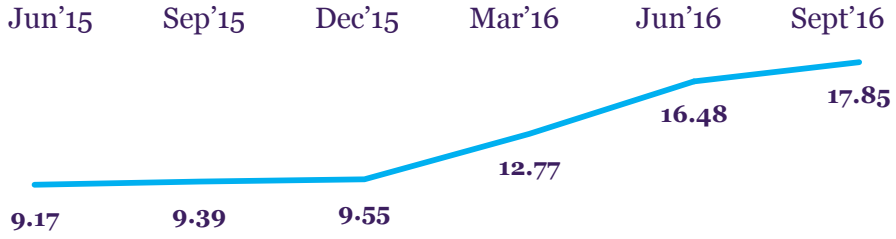
FX Rate N/$



The Naira has depreciated significantly since the adoption of the floating FX policy in June 2016. the Naira maintained a relatively steady rate of N315/$ towards the end of Q3 2016 at the interbank market. However at the parallel market the Naira weakened to a record low of N490/$ during the period.

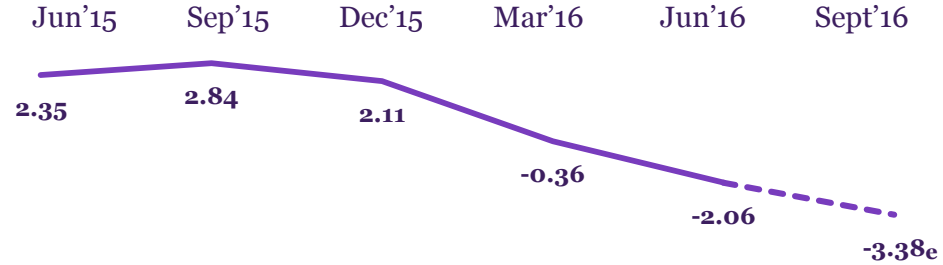
Official Rate — Parallel Mkt

Inflation



Headline inflation has trended upwards consistently since 2015 reaching 17.61% in August 2016; an 11-year high largely due to rising energy and food prices as well as the pass-through effect on prices of imported items. MoM, headline inflation grew at it slowest pace in 7 months in August 2016. Although inflation rose to 17.85% at the end of Q3 2016, the underlying patterns show a slowing of inflationary pressures.

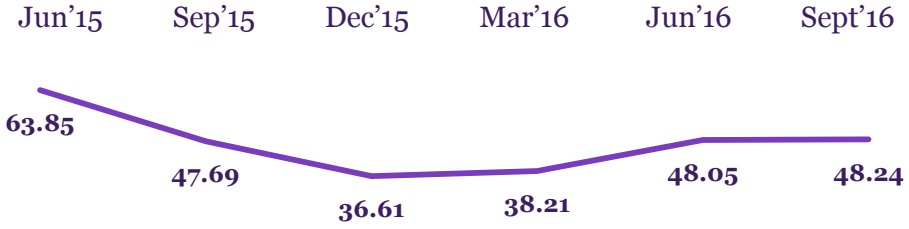
GDP Growth (%)



The economy has recorded two consecutive quarters of negative growth: -0.36% and -2.06% in Q1 and Q2 2016 respectively. With the exception of agriculture and telecommunications, all major sectors of the economy are in recession.

S&P lowered Nigeria's long-term foreign and local currency sovereign credit ratings to 'B' from 'B+' on weak growth but stable outlook signals.

Crude Oil $/barrel



Oil prices maintained a relatively flat growth during Q3 2016 peaking at $50 per barrel. The continued vandalisation of the country's oil installations by militant groups has resulted in significant output shortages with Nigeria losing the status of Africa's top oil producer to Angola.

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Regulatory & industry environment

NAICOM has suspended bancassurance partnership deals between insurance companies and banks indefinitely. This follows the CBN's refusal to allow NAICOM issue insurance licenses to banks for the provision of bancassurance services to bank customers. As a result, all relationships NAICOM previously accommodated, where insurance companies pay commission/fees to banks for insurance transactions, referral or introduction, are no more valid.

NAICOM has concluded plans to sign a memorandum of understanding (MoU) with State governments across the country for enforcement of compulsory insurance. The MoU when signed will increase the internally generated revenues (IGR) of participating states while ensuring the enforcement of compulsory insurance nationwide.

Increased pressure on capital owing to shift to Solvency II and ORSA as well as NAICOM's drive towards risk based supervision and capitalization rules.

NAICOM has established the modalities for the establishment of a nationwide municipal Insurance pool. Municipal risk pools is a form of risk management practiced by insurance companies which pool resources together to help ease financial pressures in the event of catastrophic risks.

In order to ensure sustainability and enhance the quality of Islamic Bonds, (Sukuk), the CBN has set commercial banks' investment in the bonds issued by state governments to 10% of the total amount on offer and a maximum tenor of 10 years for the bonds. This will further deepen the market and promote investment and secondary market activities.

The National Pension Commission (PENCOM) is set to roll out plans to partner with other West African pension organizations to establish a strong and reliable pension scheme in the sub-region.

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RISK INSURED REST ASSURED

Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		Sept'16	Sept'15		%Δ
Earnings	Gross Written Premium	6,406	5,673	↑	+13
	Net Underwriting Income	3,676	3,268	↑	+12
	Total Underwriting Expenses	3,050	1,953	↑	+56
	Underwriting profit	626	1,315	↓	-52
	Net Investment & Other Income	3,282	1,488	↑	+121
	Expenses & Provisions	3,400	2,695	↑	+26
	Profit before Tax	1,508	108	↑	+1293
	OPEX ratio	53%	48%	↑	+9
	Net claims ratio	57%	34%	↑	+69

		Sept'16	FY'15		%Δ
Financial Position	Financial Assets	8,181	4,313	↑	+90
	Reinsurance Assets	2,306	923	↑	+150
	Total Assets	27,189	23,695	↑	+15
	Total Liabilities	10,773	8,732	↑	+23
	Shareholders' Funds	16,456	14,962	↑	+10
	ROA	6%	7%	↓	-21
	ROE	7%	9%	↓	-20

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Assets under Management

Income statement review

NGN million

	Sept'16	Sept'15	%Δ
Gross Written Premium	6,406	5,673	+13
Reinsurance expenses	2,281	1,429	+60
Net claims expenses	1,848	994	+86
Underwriting expenses	1,202	959	+25
Underwriting profit	626	1,315	-52
Investment income	1,591	1,288	+24
Other operating income	1,692	183	+823
Operating expenses	3,400	2,695	+26
Profit before tax	1,508	108	1293

Highlights

- GWP increased by 13% YoY to N6.4bn at the end of Q3 2016 up from N5.7bn in the prior period last year.
- Reinsurance expenses grew by 60% largely as a result of the growth in GWP and an increase in facultative reinsurance to balance exposure on specific risks particularly in the oil and energy portfolio.
- The 86% growth in Net Claims Expenses came as a result of an increase in settled claims and growth in IBNR during the period.
- Investment income grew by 24% due to an improvement in money market returns in Q3 2016.
- Underwriting profit was impacted primarily by the high claims payout experience for the period from one-off incidents in Nigeria and legacy claims in Ghana.
- The Group returned a PBT of N1.5bn, up from N108m in Q3'15. This represents a 1293% increase from the prior period, largely driven by returns on strategic investment and positive underwriting profit.

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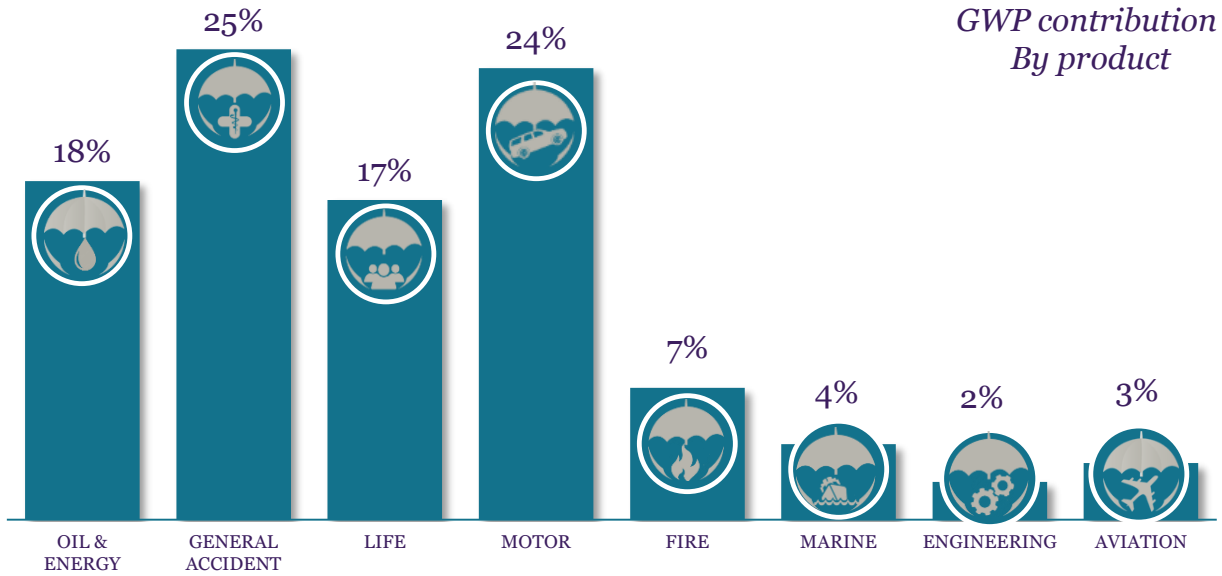
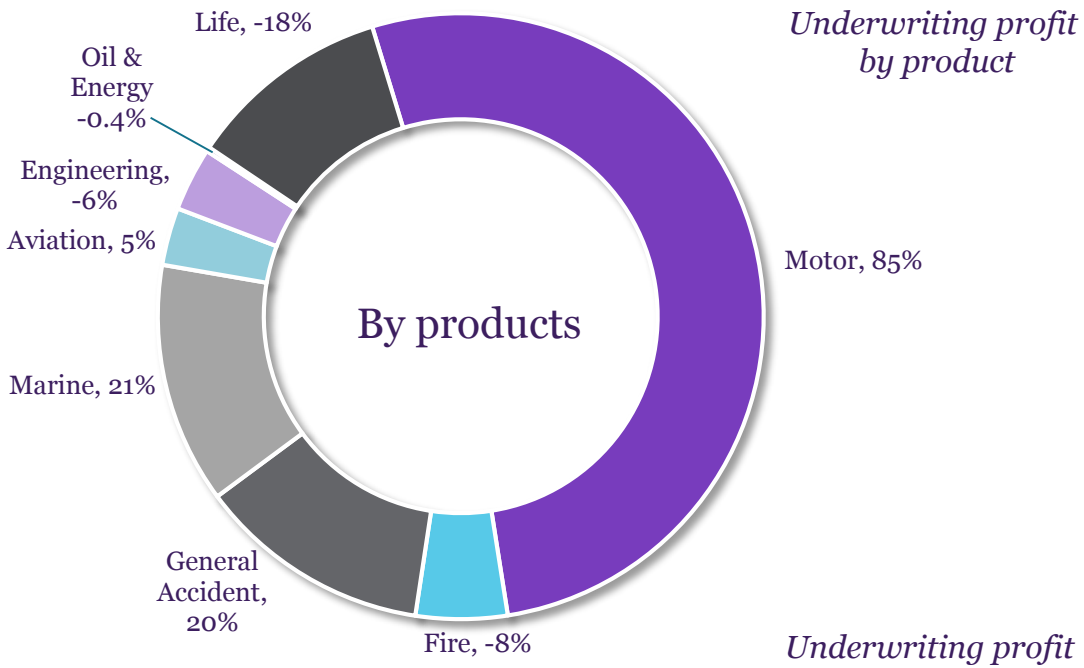
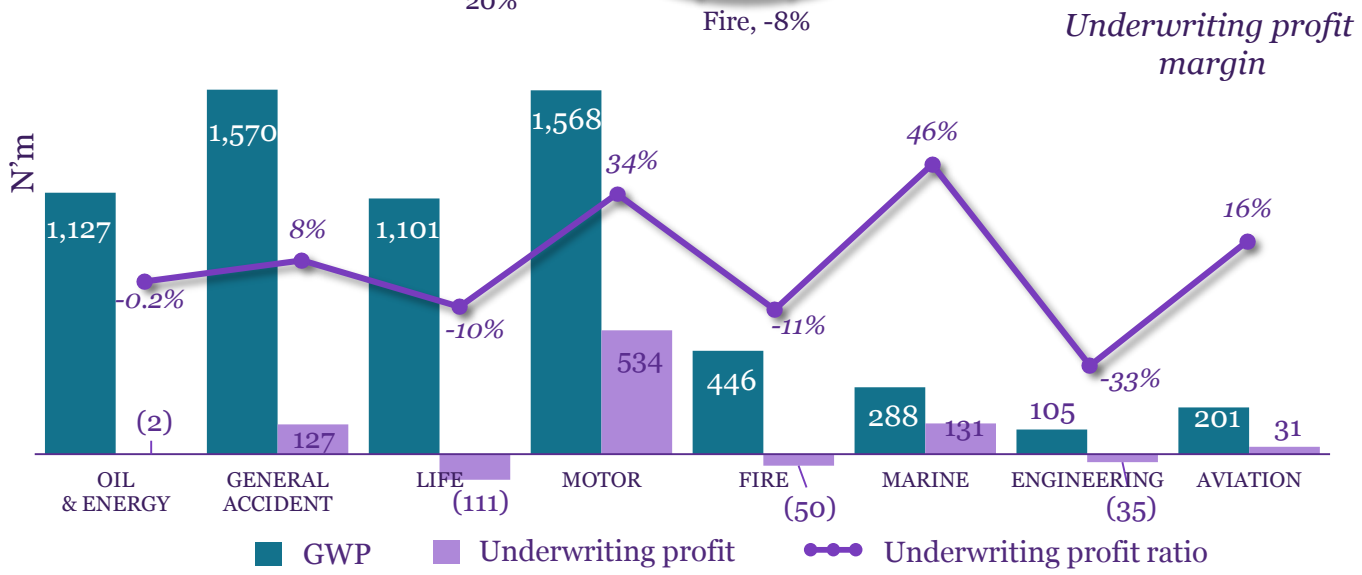
Product performance





Highlights

- General Accident and Motor had the highest contribution to GWP with 25% and 24% respectively. This is closely followed by Oil & energy and Life.
- Motor is the Group's most profitable product with an 85% contribution to underwriting profit. Marine and General Accident also contributed 21% and 20% respectively to the underwriting profit in Q3.
- The increased growth and profitability of the motor portfolio is an evidence of the company's commitment to, and sales drive with, the MOOV product.



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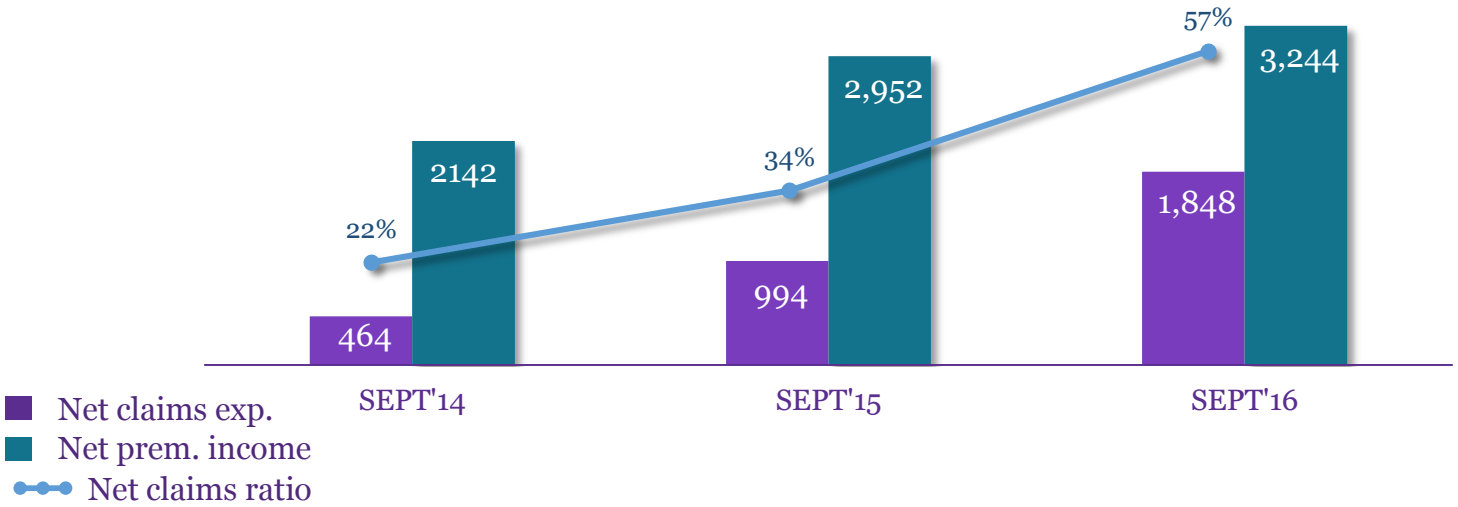
Group expenses

NGN million

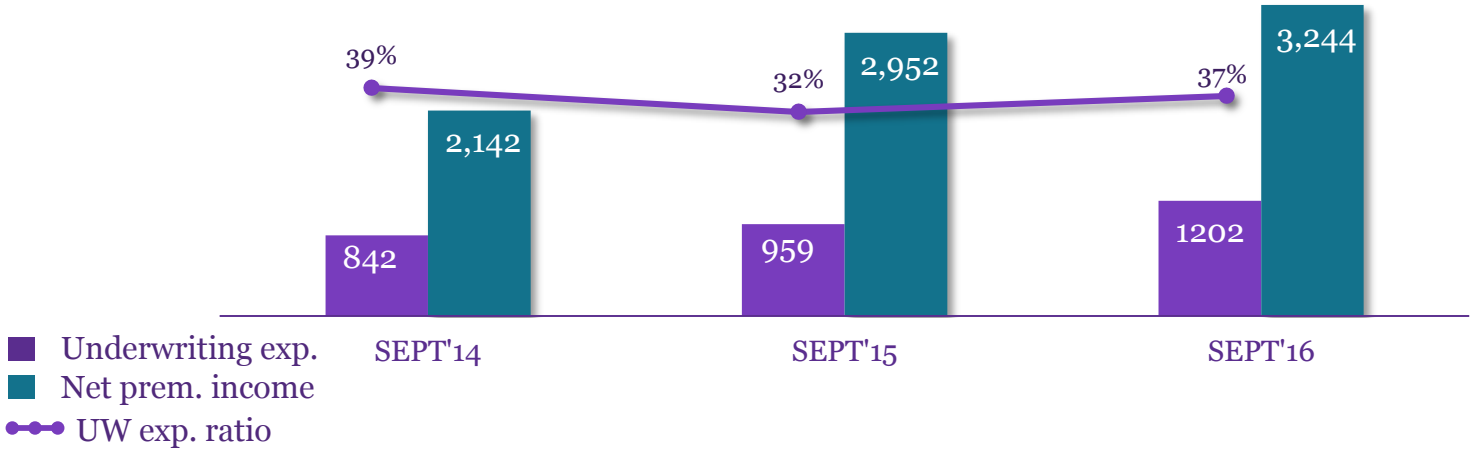
Net claims expenses

- Net Claims Expenses grew to N1.8bn in Q3 2016; an increase of 86% YoY from Q3 2015. This is as a result of a one-off payment of legacy claims and an increase in IBNR resulting from the growth in GWP.
- As a result of the foregoing, Net Claims Ratio increased to 57% in Q3 2016 compared with 34% in the corresponding period of 2015.



Underwriting expenses

- Underwriting expenses rose by 25% from the prior period's position to N1.2bn in Q3 2016. This is due to the growth in GWP and increased share of corporate business portfolio
- Underwriting expense ratio grew to 37% in Q3 2016, a marginal increase compared with 32% in Q3 2015.



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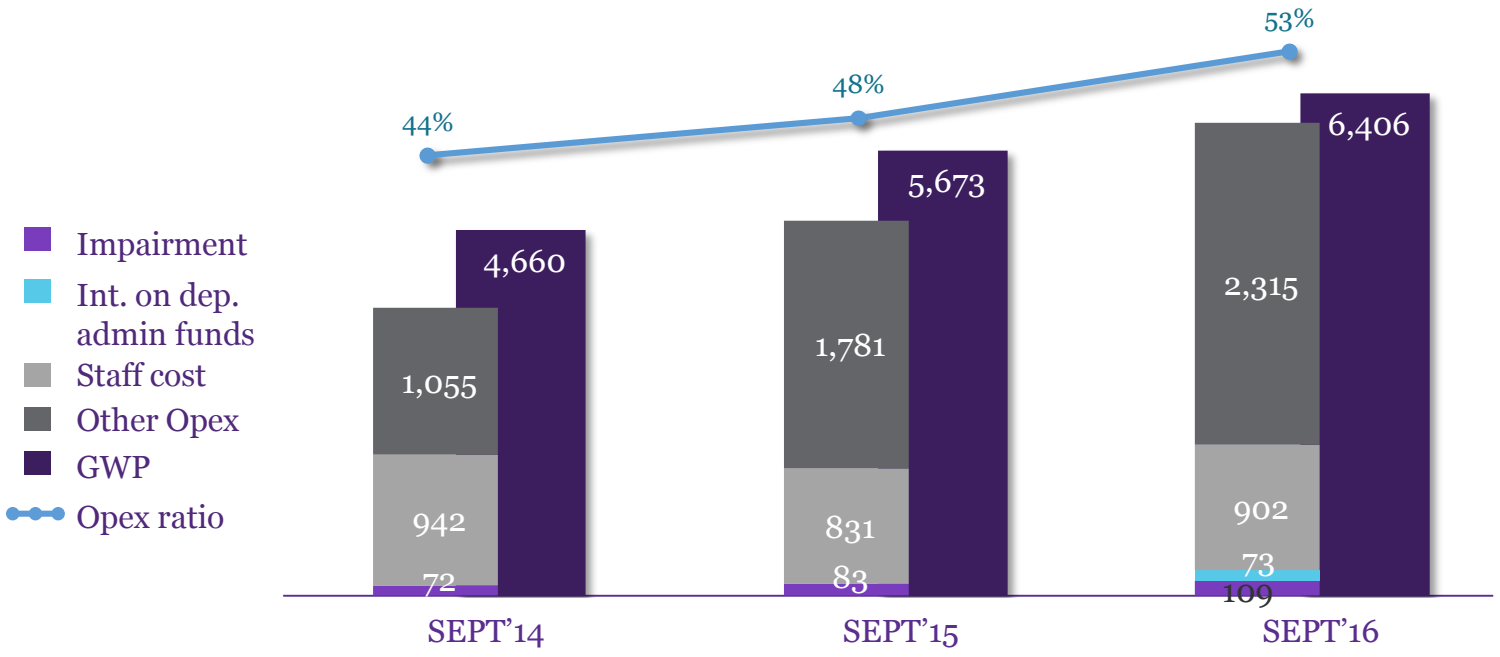
Group expenses

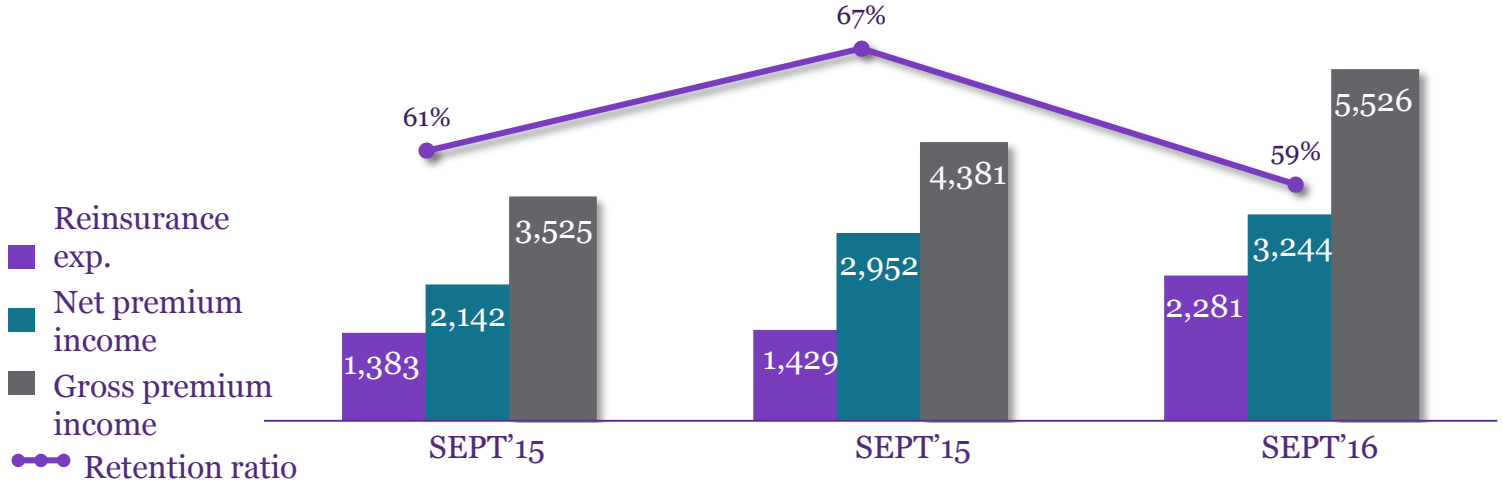
Operating expenses

- Operating expenses rose by 23% YOY to N3.4bn in Q3'16 (Q3'15, N2.7bn). The company's efforts at cost management dampened by rising inflation and the depreciating Naira.
- Major expense items include business development activities particularly in the retail segment as well as an upgrade of our core business technology solutions for greater customer experience.



Reinsurance expenses

- Reinsurance expenses grew to N2.3bn, a 60% YoY from Q3 2015 largely due to increase in facultative reinsurance to balance adverse exposure on specific risks.



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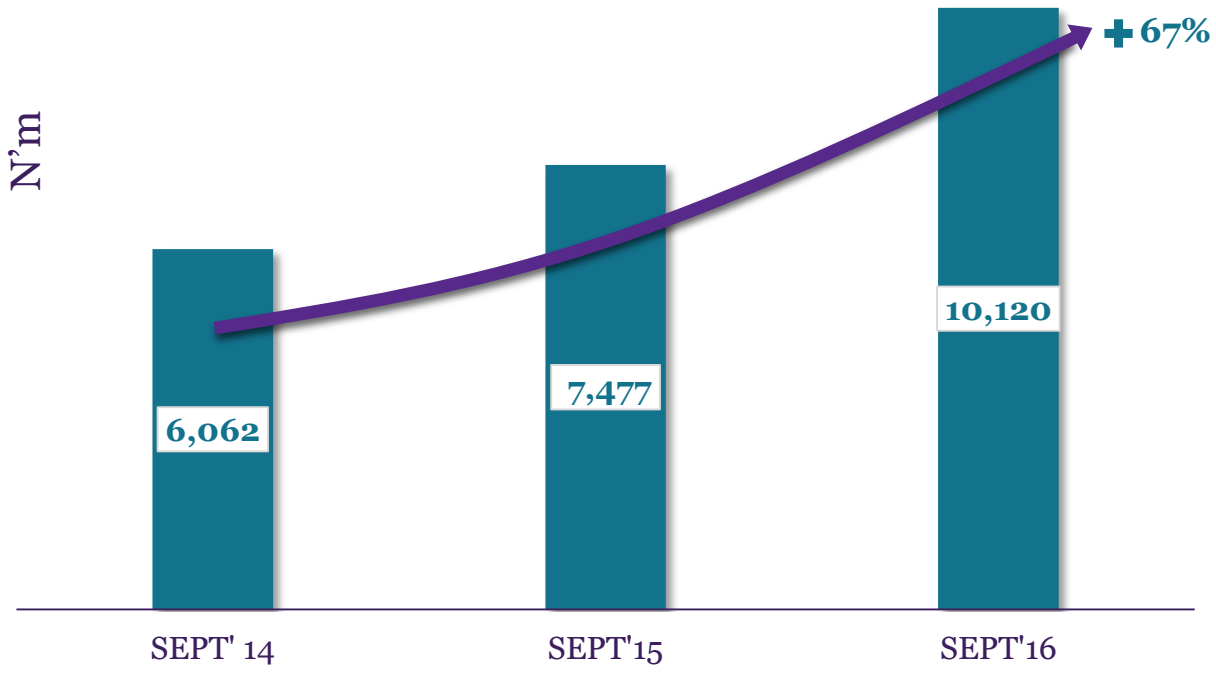
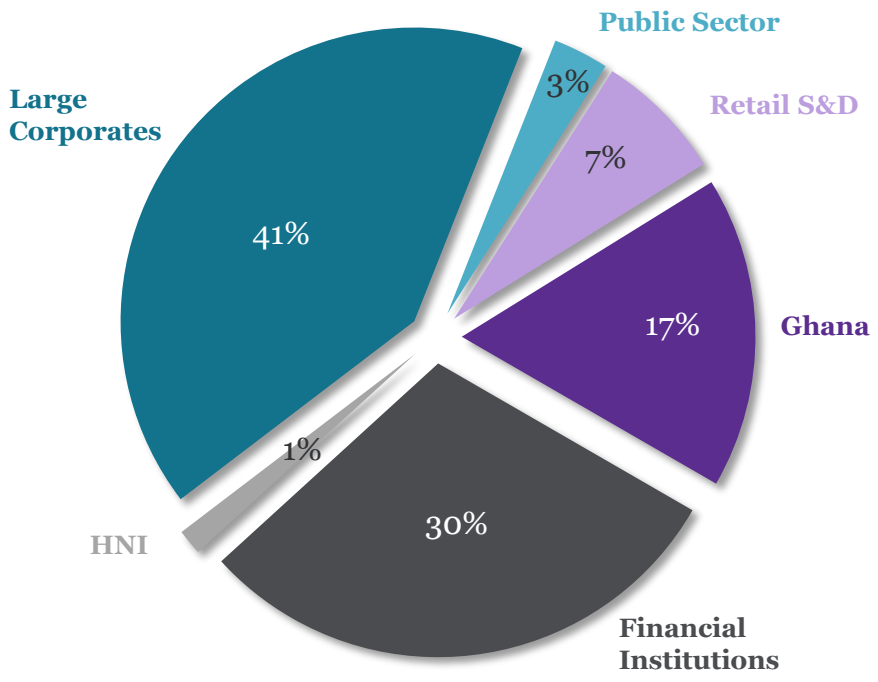
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income grew by 35% to N10bn in Q3'16 (Q3'15, N7.5bn)
- Wapic Ghana grew 48% YoY in real terms and contributed 17% to the Group's GWP. This is evidence of Wapic's effective sales drive and increasing share of the Ghanaian insurance market.
- Wapic's Large Corporates group was the largest contributor to the Group's GWP in Q3'16 at 41%, followed by Financial Institutions group at 30%.
- Wapic has repositioned its teams for improved relationship and service delivery, a restructuring that is paying off.

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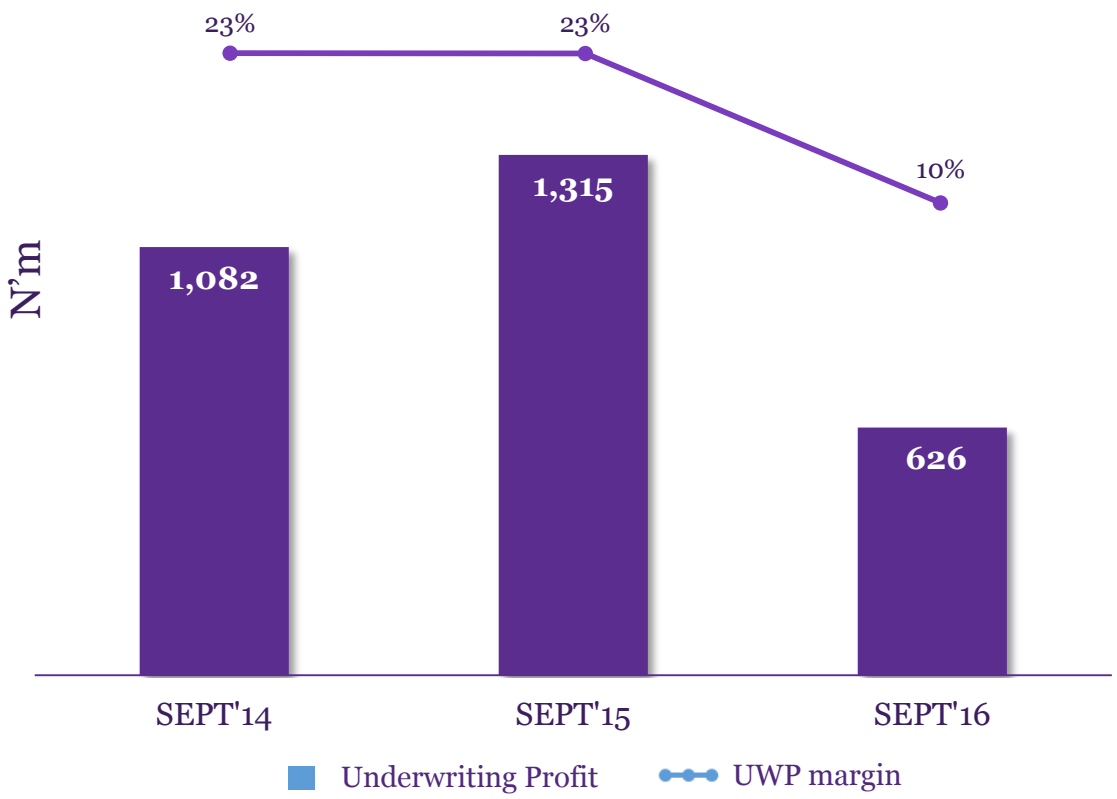
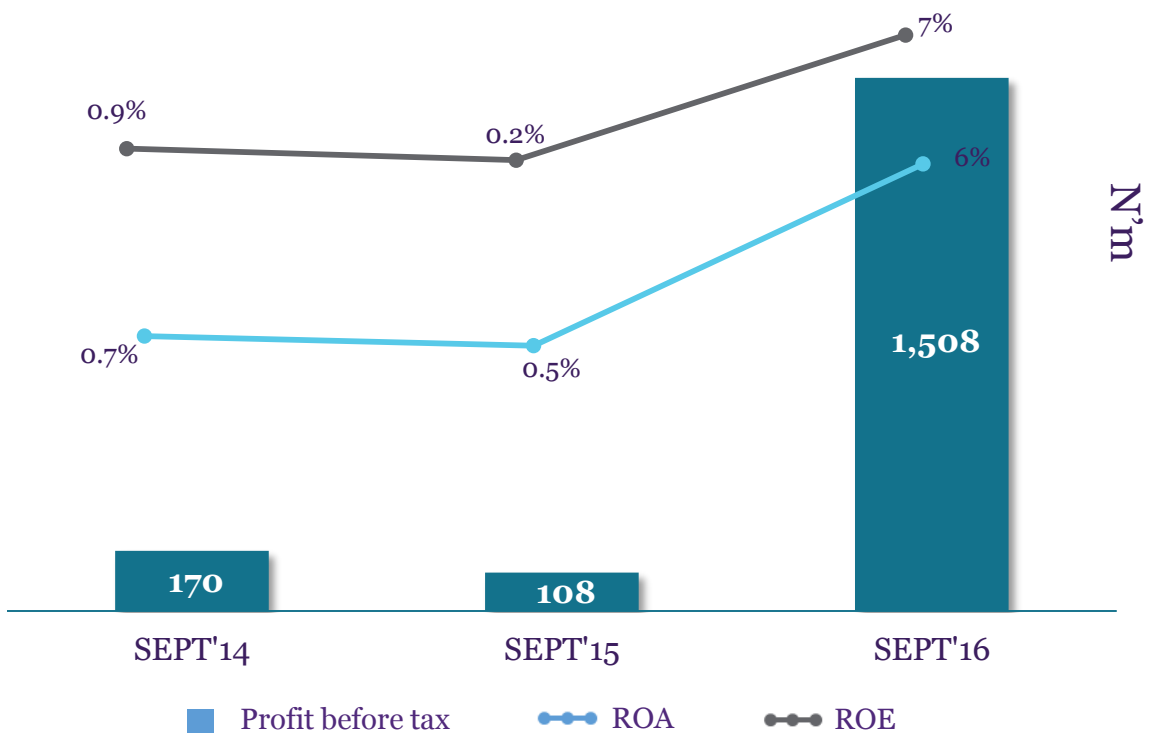
Group profit position

Underwriting profit



Profit before tax



- The Group's underwriting profit declined by 53% to N626m in Q3'16 (Q3'15, N1,315m) resulting in an underwriting profit margin of 10%, a 57% dip from the corresponding quarter of 2015. This was largely due to the increase in settled claims and IBNR during the period.
- The Group recorded a PBT of N1.5bn in Q3'16 a 1293% YoY growth partly due to strong returns from strategic investments.
- ROA and ROE remain positive at 6% and 7% respectively for the period.

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SOFP Review

Assets under Management

Statement of financial position

NGN million	SEPT'16	FY'15	%Δ
Cash and cash equivalents	2,676	7,054	-62
Financial assets	8,181	4,313	+90
Reinsurance assets	2,306	923	+150
Trade receivables	211	552	-62
Other receivables & Prepayment	1,933	1,224	+58
Investment property	259	675	-62
Investment in associate	6,873	5,244	+31
Fixed assets and intangibles	3,187	2,410	+32
Other assets	1,563	1,300	+20
Total assets	**27,189**	**23,695**	+10
Trade payables	227	211	+7
Provisions & other payables	2,410	2,497	-3
Current income tax liabilities	336	152	+121
Insurance contract liabilities	6,712	4,677	+44
Investment contract liabilities	1,048	1,196	-12
Total liabilities	10,733	8,732	+26
Equity	16,456	14,962	+8
Total equity & liabilities	**27,189**	**23,695**	+15

Highlights

- Cash and cash equivalents dropped by 62% compared to FY'15 largely due to a realignment of our portfolio to take advantage of higher-yielding assets.
- Financial Assets recorded a 90% growth as a result of the utilisation of the prior year cash and cash equivalents as well as cash from current year operations.
- The 150% growth in Reinsurance Assets is due to the growth in reinsurance expenses arising from a growth in the GWP
- Other receivables and prepayments increased by 58% largely due to prepaid expenses and outstanding proceeds on investments.
- Investment Property declined by 62% due a divestment from property in order to invest in higher-yielding assets.
- Insurance contract liabilities increased by 44% from FY'15, following a growth in GWP during the period.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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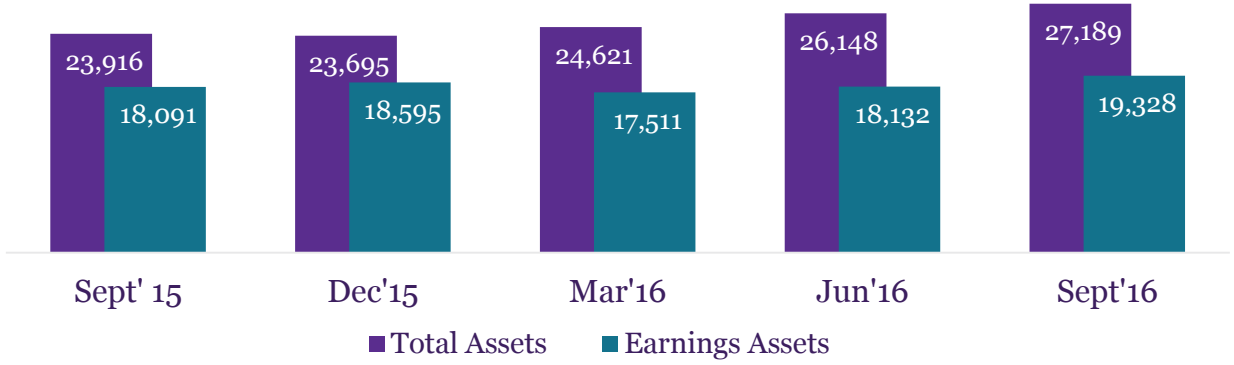
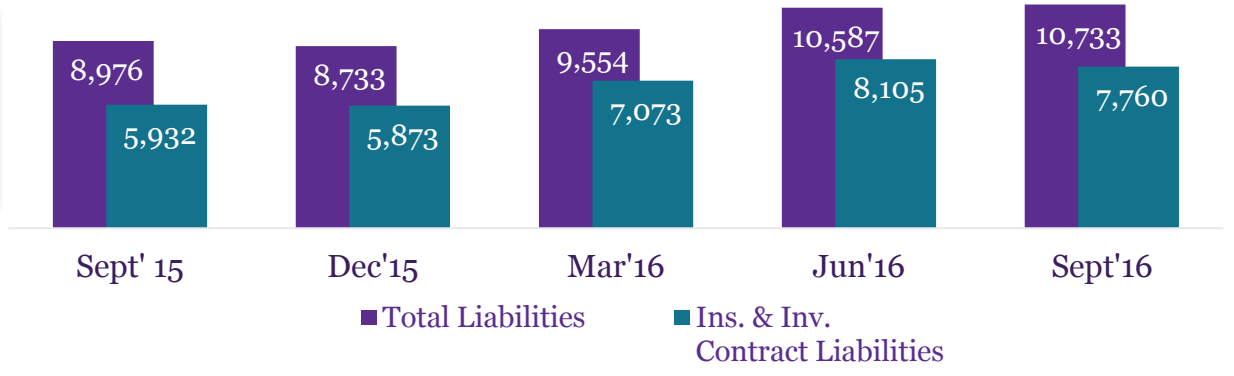
Highlights of financial position

NGN million

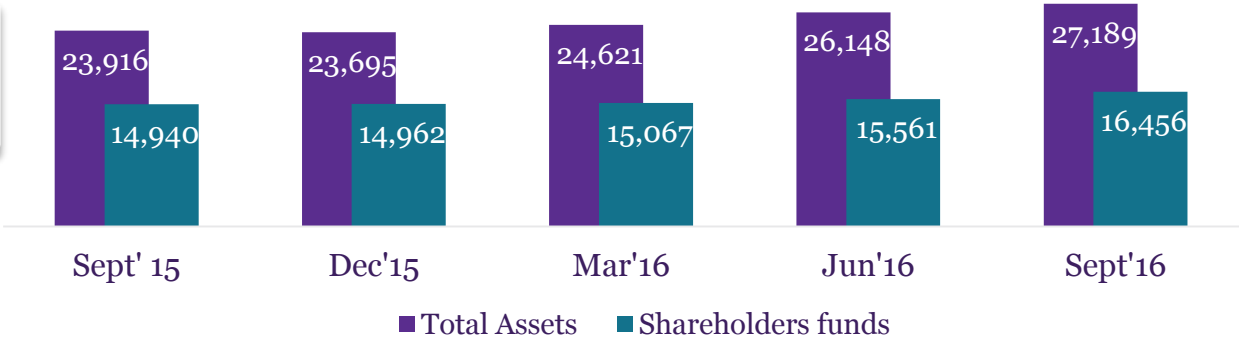
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- Earnings assets to Total assets ratio dropped by 9% from the FY'15 position to 71% in Q3'16 due to increased investment in fixed assets, while the Group's Total assets increased by 15% to N27bn for Q3'16 (FY'15, N24bn)
- Insurance and Investment contract liabilities stood at N7.8bn representing a 32% growth from the FY'15 position of N5.9bn, largely due to an increased IBNR reserve for the period.
- Total liabilities grew by 23% to N10.7bn in the period compared with FY'15, due to the growth in Insurance contract liabilities recorded for the period.
- The Group's Shareholders funds increased by 10% to N16.2bn in Q3'16 (FY'15, N14.9bn).

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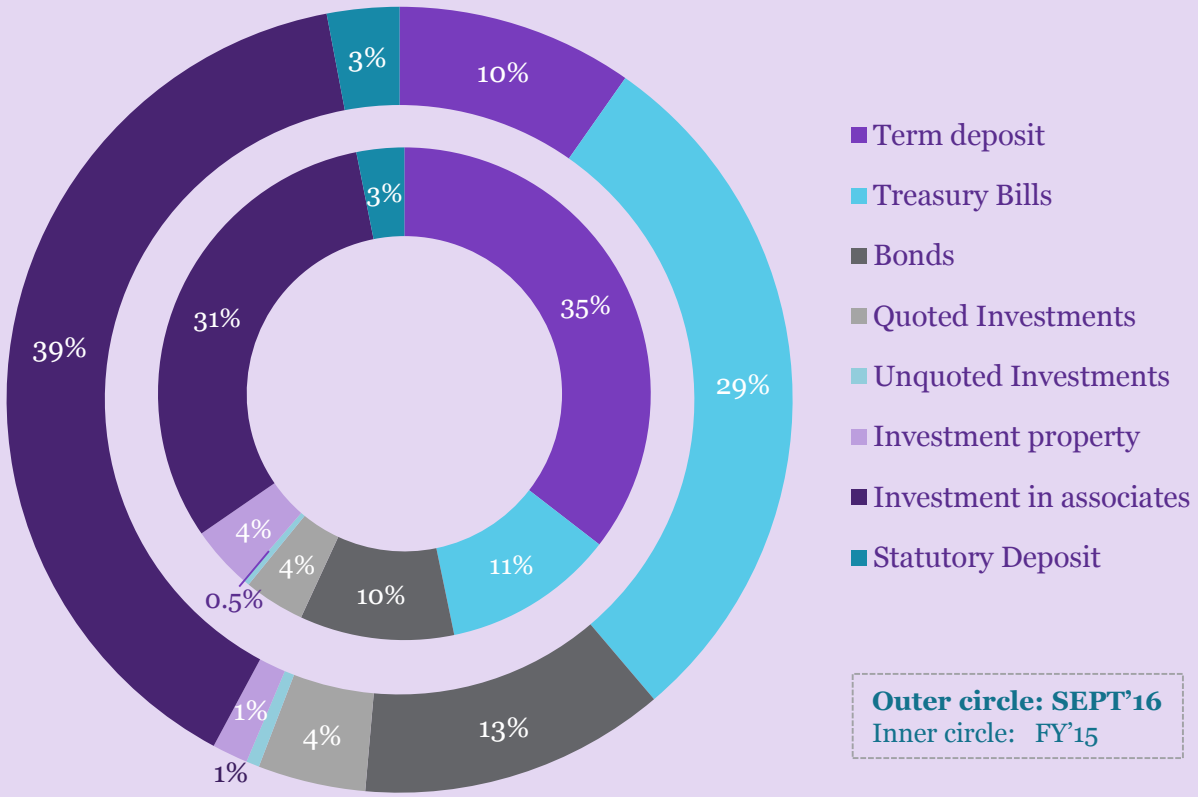
Assets Under Management

Assets under management

NGN million

	SEPT'16	FY'15
Term Deposits	1,708	5,912
Treasury Bills	5,097	1,880
Bonds	2,221	1,689
Quoted Investments	778	668
Unquoted Investments	95	76
Investment Property	259	675
Investment in Associate	6,873	5,244
Statutory Deposit	522	522



- The investment portfolio composition maintains a high allocation to the fundamentally strong associate and subsidiaries as well as fixed income securities with high yield. The property portfolio reduced in line with the strategy to fully exit the underperforming legacy properties.
- Treasury bills and money market deposits were rebalanced to take advantage of uptick in yields; while additional acquisition was made to position Wapic for other prospects in the associate.
- A portion of the exchange gains on Available For Sale(AFS) Foreign exchange securities was realized in the period. The unrealized foreign currency assets still have significant positive exchange gains based on current valuation.

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How we build for the future

FINANCIAL

- We continue to proactively drive for a solid solvency margin, ahead of an expected Regulatory change in capital adequacy rules.
- We expect topline growth of 30% YoY in line with our strategic growth expectations.
- We shall maintain a continuous focus on cost optimization in order to meet the target cost-to-income ratio.

OPERATIONAL

- We have optimized our reinsurance processes to reduce underwriting expenses. As we optimize underwriting to suit claims experience, our reinsurance expenses are expected to decline.
- We are concluding the implementation of a core application to enhance service delivery and overall customer experience. We reiterate out aim to be a leading full service insurance provider by 2019.
- We shall seek to educate shareholders about the benefits of the Global Depositary Program for greater security of investment funds.
- Wapic continues a disciplined execution of our innovative digital strategy, driving engagement and awareness.

SALES

- Wapic Ghana continues to deepen its retail distribution, with significant gains in bancassurance and sales of our innovative MOOV product, already impacting the topline.
- Following the restructuring of the Sales & Distribution function, Wapic continues to drive the focus on relationship management and excellent service delivery.
- We have structured the Retail sales function to leverage relationships with the Wapic value chain, in line with recent Regulatory guidelines on bancassurance.

PEOPLE

- As a foundation to value-driven learning and development, we have restructured the organization as a holistic system; investment of resources in talent development is expected to manifest in productivity gains.
- We are harnessing the culture of a leading customer experience with a series of innovative initiatives geared to inculcate the desired behaviors.
- We remain focused on a performance driven organization, with significant improvements in employee engagement initiatives anchored by staff, for staff.

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Thank you

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Appendix

Appendix: Other Financial Highlights

NGN million

BALANCE SHEET

	SEPT'16	YE'15	9MoY
Total Assets	27,189	23,695	+15%
Total Investments	16,953	12,563	+35%
Insurance & Invt Contract Liabilities	7,760	5,873	+32%
Total equity	16,456	14,962	-10%
Solvency Margin	221%	250%	%

EARNINGS

	SEPT'16	SEPT'15	YoY
Gross Written Premium	6,406	5,673	+13%
Gross earnings	10,120	7,460	+36%
PBT	1,508	108	+1293%
PAT	1,147	34	+3311%

KEY PERFORMANCE RATIOS

	SEPT'16	SEPT'15
Underwriting Profit Margin	10%	23%
Loss Ratio	57%	34%
Underwriting expense Ratio	37%	32%
Combined ratio	197%	157%
Cost to income ratio	68%	96%
Pre - Tax Return on Average Assets	5.5%	0.5%
Post- Tax Return on Average Equity	7.0%	0.2%

SHAREHOLDING RATIO

	HY'16	Sept'15
Share Outstanding (Mn Units)	13,383	13,383
Price (₦)	50k	50k
Market Capitalisation (N'000)	6,691,369	6,691,369

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Appendix: Group Operating Income Trend Analysis

Gross Earnings Evolution (N'm)	Q2'15	Q3'15	Q4'15	Q1'16	Q2'16	Q3'16
Underwriting Income	1,001	1,263	1,075	1,159	1,205	1,311
Non-underwriting Income	500	485	1,533	306	1,031	1,945

Operating Expenses (N'bn)	Q2'15	Q3'15	Q4'15	Q1'16	Q2'16	Q3'16
Employee Benefit Exp.	275	294	160	249	277	376
Other Operating Exp.	606	675	720	436	921	1,102

Underwriting Performance	FY'13	FY'14	FY'15	Q1'16	Q2'16	Q3'16
Underwriting Exp.	25%	19%	17%	11%	28%	24%
Net Claims Exp.	73%	32%	41%	42%	84%	46%
Underwriting Margin	-3%	23%	21%	12%	-6%	19%

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Evolution Since 1958

1958 — March 14, 1958 - Incorporated as a private limited liability Company under the name of West Africa Provincial Insurance Company Limited

1978 — Became a Public Limited Liability Company & was listed on the Nigerian Stock Exchange

1997 — The Company was acquired by Intercontinental Bank Plc.

2000 — Secured a Life business license from NAICOM & became a Composite Insurance business

2007 — Separated the Life business and transferred the related assets and liabilities to Wapic Life Assurance Limited

2009 — Established Wapic Insurance Ghana Limited to transact general business

2011 — Became a subsidiary of Access Bank through Access Bank's acquisition of Intercontinental Bank Plc.

2013 — Access Bank divested through a share distribution scheme to comply with CBN directive on banking reforms

2014 — Launched new corporate identity

Secured AM Best Rating. Rated B- for financial stability and bb- for issuer credit

2016 — Moved to its iconic and environmentally-friendly global headquarters, symbolically built on the same site as the previous head office

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